

REAL ESTATE CONTRACTS

1. First step: the contract (K) of sale is signed.

General rule: a K must be: (1) be in writing, (2) be signed by the party to be charged, and (3) contain essential terms (including the identity of the parties, price, and a description of land).

A part performance exception exists if the claimant does two of the following three: (1) takes possession, (2) makes payment in full of a substantial part of the price, or (3) substantially improves the land.

Negotiating a contract: persons such as brokers, real-estate agents, or attorneys can negotiate contracts so long as they are in an agency relationship and have legal capacity to do so.

Payment: If a real-estate broker and seller enter into an exclusive agency agreement, the broker obtains a commission only if his agent is the procuring cause of the sale. If the parties enter into an exclusive right to sell agreement, then the broker is paid no matter who finds the buyer—even if it is the seller herself.

Disclosure: The seller of the home does not have to disclose defects unless they are not obvious, he knows or should know of them, and the defect is serious. However, the seller cannot actively conceal defects.

Warranty: for new homes sold by a builder-seller, there is an implied warranty of fitness.

2. The K must satisfy or exclude the warranty of marketable title.

Marketable title is one "reasonably free from defects." It must be given on the **day of closing** (but one can pay off a mortgage with the proceeds of a sale).

What makes title unmarketable? (DEVA)

Defect in the chain of title

Encumbrance (mortgage or easement not mentioned in the contract)

Violation of a zoning ordinance

Title acquired by **adverse possession**

Tip: a violation of a housing or building code does not render title unmarketable.

3. Once the K is signed, legal and equitable title split.

Equitable title passes to the buyer. The buyer's interest is in the real property, so if something happens to the real property after the contract is signed (e.g., a tornado destroys the property), the risk of loss remains on the buyer.

Legal title remains with the seller. The seller's interest truly is the money (personal property) that the seller will get from the sale.

4. Closing occurs.

The deed must be executed and delivered! **Execution** means that the deed identifies the parties, has words of grant, is signed by the seller, and describes the land.

Delivery means intent to pass title presently. Delivery is presumed to have occurred if the deed is in the grantee's possession or if it is recorded. **Tip: marketable title must be given on the closing date (not before).**

5. Once delivery occurs, the buyer can only sue on the deed!

A **quitclaim deed** gives no warranties. A **warranty deed** gives six covenants: **PRESENT** covenants of right to convey, seisin, no encumbrances, and future (FEW) covenants of further assurances, quiet enjoyment, and warranty.

Merger occurs, so now the buyer can ONLY SUE on the deed! He can no longer sue on the contract.

RECORDING ACTS

- **Common law:** First in time, first in right. One does not need to record one's interest to have title. However, recording acts have the power to change the common law result.
- **Notice act:** a subsequent bona fide purchaser (BFP) for value without notice can obtain title that is superior to that of someone who received the property before him.
- **Race-notice act:** A subsequent BFP for value without notice who records first can obtain superior title. **Tip: If you are given a statute to apply, look for the words "without notice" and "first records" to indicate a race-notice act. A notice act will look similar but will not have any language about recording first.**
 - Notice can be (AIR): actual, inquiry, or record notice.
 - Purchasers: Mortgagees and those who pay consideration are purchasers. Donees, heirs, and judgment lien creditors are not purchasers.
- **Shelter rule exception:** this allows traditional grantees who are not protected by the recording act to prevail by sheltering under the rights of those who conveyed the land to them.
- **Forged deed and defective documents:** forged deeds and defective documents do not give notice, so BFPs who receive these are not protected by recording acts.
- **Estoppel by deed:** if a grantor transfers property to a grantee (when he does not have title to the property) by warranty deed and then later acquires title, the title will automatically go to the grantee unless the grantor later gave the land to a BFP.
- **Title insurance** is the purchaser's protection against unknown defects of record in the chain of title. It is not required unless contractually agreed upon.

ADVERSE POSSESSION AND TRANSFER BY OPERATION OF LAW OR BY WILL

Adverse possession requirements (CHANGE): Possession must be continuous, hostile, actual, open and notorious, it must go on for statutory period (20 years), and be exclusive. Tacking is permitted. Note: if the true owner has a disability (JIM: jail, insane, minor) at the time the adverse possessor enters, then the statutory time period is tolled until the disability is lifted.

Transfer by will concepts: If property is specifically devised but the testator does not own it when he dies, the gift adeems (fails). There are exceptions (e.g., if insurance proceeds were paid after death, the beneficiary will take those). **Note: if the beneficiary dies before the testator, the gift will lapse (unless the jurisdiction has an antilapse statute that saves the gift).**

Exoneration: At common law, if a testator makes a specific devise of real estate that is subject to a lien, the devisee is able to have the lien exonerated and paid off by the testator's residuary estate. (Most states have abolished this doctrine.)

MORTGAGES AND SECURITY DEVICES

A mortgage indicates the existence of a debt. The mortgagor is the debtor. The mortgagee usually is a bank who lends money. **Tip: remember "It's better to be the mortgagee" if you mix up these terms.**

Transfer by the mortgagor

- If the mortgagor gives away her interest "subject to" the mortgage, the original mortgagor is liable on the mortgage.
- If the new transferee "assumes" the interest, both the original mortgagor and the new transferee are liable. **Tip: remember the new party "assumes" liability as well.**
- If there is a novation, then only the new transferee is liable.
- **Note: due-on-sale clauses (which state that if the mortgagor transfers the interest in land without the mortgagee's consent, the full loan under the loan is due immediately) are enforceable.**

A majority of states follow the **lien theory** where the mortgagee only has a lien on the land. Some states follow the **title theory** where title is transferred to the bank right away upon loaning the money.

Foreclosure: a bank can begin foreclosure proceedings upon default.

Equity right of redemption: This allows a debtor to redeem the property by paying everything due under the mortgage agreement prior to foreclosure. This right cannot be waived in the mortgage or deed of trust but may be waived later for consideration.

Acceleration clauses: this states the entire balance is due if a payment is missed, and it is enforceable.

Other ways to discharge a mortgage: full payment or the mortgagor can give a deed to the mortgagee in lieu of foreclosure.

Who gets paid first in a foreclosure proceeding: The party that forecloses and anyone "junior" to it is paid off in order of priority. All junior parties must be parties to the proceeding. Note: a purchase money mortgage (PMM) (i.e., when the money loaned is used to purchase the property) is senior to a non-PMM.

Increasing amount due: If a mortgagee voluntarily increases the amount due under a mortgage, the increase in debt becomes junior to existing mortgages. (This does not apply if the increase was a mandatory future advance.)

Redemption after foreclosure—statutory right of redemption: this allows the debtor to get property back after the foreclosure sale by paying the full purchase price within a period of time (e.g., six months).

Other types of security devices include an **absolute deed as security** (the parties don't call it a "security interest" but one essentially gives a deed as security), a **deed of trust** (similar to a mortgage, but a trustee proceeds with foreclosure), and an **installment land contract** (one pays off land in a "lease" and gets title to the land once all payments are made).

PRESENT INTERESTS

Fee simple absolute: Ex.: "To A" or "To A and her heirs." "A" has the estate forever. A total restraint on the transfer of ownership is not permitted, but limited conditions and rights of first refusal are permitted.

Life estate: Ex.: "To A for life."

- Life tenants must pay taxes, pay interest on the mortgage, and make repairs. Life tenants cannot commit waste.
- Restrictions on alienation (transfer) are permitted.

Fee simple determinable (FSD): Ex.: "To A for so long as A is in college." A has a FSD. O has a possibility of reverter.

- Measured by time
- Magic words of creation (**SUWD**): so long as, until, while, and during
- This estate ends automatically when the time period ends.

Fee simple subject to condition subsequent (FSSCS): Ex.: "To A but if A smokes, O reserves a right of entry." A has a FSSCS. O has a right of entry. **Tip: if you see FSD and FSSCS language, there is a preference for a court to find a FSSCS.**

- Conditional; measured by the occurrence of an event
- Magic words of creation: a *right of entry* must be reserved for the owner (O) (usually you'll see "conditional" words too like "but, if, upon condition...").
- This estate ends when O enters.

Fee simple subject to executory interest (FSSEI): Ex.: "To A but if A smokes, to B." A has a FSSEI and B has the executory interest.

- You will see durational or conditional language, but it will go to party B instead of back to O.

FUTURE INTERESTS

Held by grantor

Right of entry, possibility of reverter, and reversion

Held by grantee

Remainder: usually follows a life estate.

- A remainder is vested when the remainderman is ascertained and it is certain to become possessory.
- It is contingent when the remainderman is (**UUU**) unborn, unascertained, or if it is uncertain to vest due to a condition.

Executory interest (EI)

- Shifting: when B divests a third party of his interest.
- Springing: when B divests O of his interest.

CONCURRENT ESTATES

JOINT TENANCY (JT)

- **Creation:** (TTIP) time, title, interest, possession, plus express language needs to be used (e.g., "as joint tenants with a right of survivorship"). Joint tenants have a right of survivorship.
- **Destruction:** It can be partitioned. Or, it can be severed by (**GSAM**) giving it away, signing a contract of sale, an actual judicial sale by a creditor, or granting a mortgage in a title theory state. **Tip: one cannot give a JT interest away by will.**

TENANCY IN COMMON

Creation: Only the right to possess the whole is needed. There is no survivorship right.

TENANCY BY THE ENTIRETY

Creation: Similar to a JT but the parties must be married. It can only terminate by death, divorce, mutual agreement, or a mutual creditor of both executing on its interest.

RELATIONS AMONG COTENANTS

- (1) **Possession:** each tenant may possess the whole.
- (2) **Profits:** In general, a cotenant does not have to share profits that he makes through his own efforts from the land. Exceptions: if there is ouster, depletion of natural resources in a way that decreases the value of the land, or lease to a third party.
- (3) **Right to contribution:** for taxes, mortgage payments, and necessary repairs.

LANDLORD AND TENANT

TYPES OF TENANCIES

- **Term for years:** a tenancy for a specific period of time (not necessarily "years").
- **Periodic tenancy:** a tenancy without a specific end date.
- **Tenancy at will:** a tenancy that either party may terminate without notice.
- **Holdover tenancy:** a tenancy that occurs when a tenant stays past the end date of his lease.

RIGHTS AND DUTIES

- The tenant must pay rent and not commit waste. The landlord can require a security deposit.
- There is an implied warranty of habitability for residential property where the landlord must keep property in habitable condition.
- A landlord can constructively evict a tenant if there is something that renders the premises unusable, the landlord fails to act after notice, and the tenant leaves. **Tip: the tenant must actually leave to win an eviction action.**

ASSIGNMENT VS. SUBLETTING

Assignment: When a tenant assigns his entire interest, he is liable on the lease under privity of contract. The assignee is liable under privity of estate.

Sublease: When the tenant rents his land to a sublessee but has some interest left, the sublessor is liable on the lease under privity of contract and estate. The sublessee is not liable to the landlord on the lease (but may be sued by the sublessor).

Tip: nonassignment and nonsublease clauses are enforceable, but they are strictly construed and courts will try to find a waiver.

TERMINATION

- (1) **Eviction:** if the tenant does not pay rent, the landlord can evict the tenant from the property.
- (2) **Surrender:** If the tenant does not pay rent but has abandoned the property, the landlord can treat it as a surrender. This excuses future rent obligations.
- (3) **Duty to mitigate:** The landlord must try to mitigate damages by re-renting the land. (**Note: this duty did not exist at common law.**)

RULES AFFECTING THESE GIFTS

Class gifts: Class gifts are gifts to unnamed persons. Unless otherwise stated, the class closes when any member of the class can call for a distribution.

Cy pres: When a gift to a charity fails, the court may reform it to match the donor's intention. There are three considerations: (1) there must be property (or money) given for a charitable purpose; (2) it must be impossible, impracticable, or illegal to carry out the purpose; and (3) the settlor must have manifested a general intent to devote the property to a charitable purpose.

Rule against perpetuities: No interest is good unless it must vest, if at all, not later than 21 years after a life in being at the creation of the interest. **Statutory reforms:** the Uniform Statutory Rule states that an interest is good (a) if it is valid under common law, or (b) if it vests or terminates within 90 years after its creation.

The Fair Housing Act: bars discrimination based on race, ethnicity, religion, national origin, gender, and disability in the sale or rental of a dwelling.

Conflict of Laws—general rule: the law of the situs ("the place where the property is located") controls.

FIXTURES, ZONING, AND ASSOCIATIONS

Fixtures: A fixture passes with real property. Look at the intent to make the item a fixture and the following (**DAMN**) factors:

damage removal would cause, adaptation of item to realty, the manner in which it is attached, and the nature of the item. Trade fixtures are chattels that are used in business. They are *not* considered fixtures.

Zoning: states may enact zoning regulations.

- **Variance:** a variance from an ordinance may be granted if the property owner shows he has a unique hardship.
- **Preexisting uses:** Many zoning ordinances protect a preexisting use. But, as soon as that property is sold to a new party, the preexisting use no longer is protected.

Property associations: Owners of lots agree to contribute to the support of common property. In order to create it, there must be a master deed and privity between the original purchasers and the developer. Restrictions generally carry a presumption of reasonableness and usually are enforced.

RIGHTS IN LAND

REAL COVENANTS

The following is needed to enforce a covenant (**PINT**): Horizontal and vertical privity (only vertical is needed for the benefit to run), intent for the covenant to run, notice of the covenant, and it must touch and concern the land (make it more valuable). The remedy is money damages.

EQUITABLE SERVITUDES

Everything above is needed except privity. The remedy is an injunction. Equitable defenses are available (e.g., laches, unclean hands).

EASEMENTS

Creation: There are four methods of creation:

- (1) **Express:** a signed writing is required.
 - (2) **Implied by prior use:** common apparent use by a landowner who subdivides land.
 - (3) **Implied by necessity:** land is landlocked.
 - (4) **Prescription:** one uses the land openly, notoriously, continuously, and without permission from the owner for the statutory period of time.
- Transfer:** The dominant estate passes automatically. The servient estate passes only if the new owner has notice of the easement.
- Use:** reasonable development is permitted but the easement must be used for its original purpose.
- Termination:** An easement can terminate in one of the following ways:
- **Merger** (if one owns the dominant and servient estate, the easement ends)
 - **Release** (a signed writing)
 - **Abandonment** (act + intent to abandon; Tip: mere nonuse is not enough to abandon an easement)
 - **Estoppel** (a statement by the dominant estate holder and reliance by the servient estate holder)
 - **Prescription** (the easement is blocked for the statutory period)
 - **End of necessity** (this applies only for an easement by necessity)

LICENSES

A license can be created orally. It is revocable at will unless coupled with an interest or reliance.

PROFITS

A profit is the right to go onto land and take a resource away (e.g., wood, coal, etc.).